

Gandhar Oil Refinery (India) Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: GANDHAR · BSE: 544029 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Gandhar buys *base oil* (the refined mineral-oil feedstock left over from crude processing) and blends it into higher-value specialty oils. It sells three families: **PHPO** — personal-care, healthcare and performance oils, the white oils that go into baby oil, cosmetics, ointments and pharmaceutical products; **PIO** — process and insulating oils, mostly transformer oil for the electricity grid; and ordinary automotive **lubricants**. It makes money on the *spread* — the gap between what it pays for base oil and what it sells the blended product for. It ships to 100+ countries and has a plant in Sharjah, UAE (subsidiary **Texol**).

Measure	Value	What it means in plain words
Market cap	₹2,258 cr	What the whole company is worth on the stock market — a small-cap.
FY26 revenue	₹3,423 cr	Total sales in the year to March 2026, up about 8% on FY25's ₹3,160 cr.
FY26 net profit	₹138 cr	Profit after all costs and tax — up from ₹75 cr in FY25, but still below the ₹197 cr of FY22.
FY26 operating margin	6.1%	Six paise of operating profit per rupee of sales. Thin — this is a spread business, not a branded one.
Trailing-12-month profit	₹291 cr	Last four quarters combined. More than double FY26 — almost entirely because of the one quarter this report is about.
Borrowings (Mar 26)	₹88 cr	Very little debt against ₹1,301 cr of net worth. The India entity is effectively debt-free.
ROCE (FY26)	15.4%	Return on the capital in the business. Respectable, but down from 53% in FY22.
Working capital days	91 days	Cash tied up in stock and unpaid customer bills — up from 47 days in FY18. Getting steadily worse.

2 Concall coverage

Quarter	Call date	Transcript read?
Q2 FY24	Jan 2024	Yes
Q3 FY24	Feb 2024	Yes
Q4 FY24	Jun 2024	Yes
Q2 FY25	Nov 2024	Yes
Q4 FY25	May 2025	Yes
Q2 FY26	Nov 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	Jun 2026	Yes
Q1 FY27	23 Jul 2026	Yes — latest call ★

Nine transcripts spanning roughly three years, from the half-year after the company's late-2023 listing through to the June 2026 quarter. Screener listed nine calls and all nine were downloaded — no gaps.

★ Latest concall highlights — Q1 FY27 (call held 23 July 2026)

- **The biggest quarter in the company's history, by a distance.** Consolidated revenue ₹1,732 cr, up 92% on the ₹903 cr of a year ago. Profit after tax ₹206 cr against ₹26 cr — nearly 8x. One quarter's profit exceeded the whole of FY26's ₹138 cr.
- **But volumes barely moved.** Sales volume was ~131,000 kilolitres against ~121,000 — up only 8%. Revenue rose 92% on 8% more product, so essentially **all** of the growth came from price, not from selling more.
- **The cause was a war, not the business.** Middle East conflict and the Strait of Hormuz closure choked base-oil supply. Gandhar re-routed sourcing to South Korea and Indian producers, kept supplying customers, and charged far more for it. The gross spread hit **₹28,145 per kilolitre against ₹8,274 in a normal quarter** — 3.4x. Operating margin jumped to 16.2% from 5.1%.
- **Management flagged this as exceptional, unprompted.** The CFO's own words: these spreads "are significantly above historical levels [and] should be viewed in the context of the exceptional market conditions." Asked repeatedly whether 16% margins are the new normal, they would not say yes — only that stellar levels might hold "for at least the next 1 or 2 quarters."
- **Exports carried it.** Exports were 51% of revenue, up from 37%; export volumes rose 54%. A 100% interim dividend (₹20 cr) was declared, and a capex plan is promised "in the next quarter or so" — still unannounced.

Business mix & capacity. Exports ~51% / domestic ~49% of consolidated revenue in Q1 FY27 (was 37% export a year ago) — just over half of sales now leave India, and export realisations run only about 5–6% above domestic, so the mix shift is about volume access, not premium pricing. **PHPO is over 50% of total sales** and grew 18%; PIO grew 28%, with transformer-oil volumes up from 14,000 to 18,000 kilolitres. **Capacity 597,000 kilolitres, running at ~97% on a two-shift basis** — the Indian plants are effectively full and have been pushed above nameplate (125–129%) by adding shifts; there is headroom only by moving to a third shift. **Texol (Sharjah) is the laggard at ~70–72%**, and management said in Nov 2025 it needs "1.5 to 2 years" more to fill — meaning the group's spare capacity sits almost entirely offshore.

★ 3. Earning-trigger thesis

Management's story — consistent for three years — is that Gandhar grows by shifting mix toward **PHPO** (personal-care and pharma white oils, its highest-margin family), pushing **exports** through the Sharjah hub into 100+ countries, and riding **transformer-oil demand** from India's electricity-grid build-out. That is a real, coherent driver, and volumes have compounded at the promised 8–10% a year. **What it is not is the reason for this quarter.** The record profit came from a geopolitical supply shock that tripled the spread, on volumes up just 8%. The durable engine and the headline number are two different things, and the gap between them is the single most important fact in this report.

Trigger	What management said	Evidence so far	Horizon	Strength
PHPO mix shift	Personal-care/pharma oils are the "forte" and highest-margin family; will stay >50% of sales.	Delivered — PHPO is >50% of sales and grew 18% YoY. Repeated in every call since 2024.	Ongoing	Strong Consistently stated and consistently true.
Export expansion	Grow overseas share; Texol Sharjah as the export hub; new entries in Indonesia, Europe, USA, South Africa.	Exports 37%→51% of revenue, volumes +54%. But the new geographies are still vague — South Africa strategy "being worked out", no revenue projection given.	1–3 yrs	Moderate Real progress, but the flagship new markets are unquantified.
Transformer oil (PIO)	Grid and power investment in India and globally drives "strong and robust growth."	PIO +28% YoY; manufacturing volumes 14,000→18,000 kL. Genuine tailwind.	2–5 yrs	Strong Backed by a structural, visible end-market.
Spread expansion	Q1 spread of ₹28,145/kL; "hopeful" of holding "most of this year."	Spread history: ₹8,662 (Q2 FY26) → ₹7,271 (Q3) → ₹9,351	1–2 qtrs	Weak / not durable Management itself calls it

		(Q4) → ₹28,145 (Q1 FY27). A single outlier caused by war.		exceptional. Reverting is the base case.
Volume growth	8–10% (sometimes 10–12%) a year, every year.	Delivered — Q1 FY27 volumes +8%. But India is at ~97% utilisation with no announced capex, so the next leg needs new plant.	Ongoing	Moderate Reliable, but capacity-capped until capex is announced.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY24 (Jan 24)	Taloja plant expansion of 100,000 kL; 75,000 kL onstream by end of that fiscal year.	Built. By Nov 2024 management confirmed "Taloja capex is complete" and total capacity settled at 597,000 kL.	Delivered
Q3 FY24 (Feb 24)	"The endeavour is to ensure the EBITDA margins are not only sustained but even improved."	Operating margin went the other way — 7% FY24 → 4.6% FY25 → 6.1% FY26. Not improved until an external shock did it for them.	Missed
Q4 FY24 (Jun 24)	"By FY26, we will be 100% capacity utilization"; target 80–82%.	Broadly achieved — FY26 came in at 554,212 kL, about 93% of the 597,000 kL nameplate, with Indian plants above 100%.	Delivered
Q4 FY24 (Jun 24)	Texol (Sharjah) utilisation 65–67%, to be filled up over the following years.	Still 70–72% two years later. In Nov 2025 management said full utilisation was "1.5 to 2 years" away — the same distance it had been before.	Slipping
Q4 FY25 (May 25)	FY26 volume growth of 10–12%.	FY26 revenue grew ~8%. Volume guidance was subsequently reset down to "8% to 10% to even 11%".	Partly
Q2/Q3 FY26 (Nov 25 / Feb 26)	"We expect Q3 and Q4 to be slightly better"; "very hopeful that our EBITDA margins in the near future will definitely go up."	Q3 FY26 spread actually <i>fell</i> to ₹7,271/kL from ₹8,662. Q4 recovered to ₹9,351. FY26 margin still only ~5–6%.	Missed
Q1 FY27 (Jul 26)	Capex plan "will be shortly announced... next quarter or so." South Africa clarity in "1 or 2 quarters."	Both still pending as of this call. Nothing to judge yet.	Too-early

Narrative drift. The strategic story has been impressively steady: PHPO first, exports second, transformer oil third — the same three pillars in every call for three years, with no pivot into unrelated ventures. Where management is unreliable is **margin forecasting**. They have said margins would improve in FY24, FY25 and FY26, and each time the spread stayed stubbornly in the ₹7,000–9,400/kL band and operating margin in the 5–7% range. The honourable exception is this quarter: handed a windfall they did *not* claim credit for it as a structural re-rating — they volunteered that it was exceptional and declined three separate analyst invitations to guide 16% margins forward. That candour matters, and it partly offsets the earlier over-optimism. The Texol ramp, meanwhile, has quietly stayed "1.5–2 years away" for over two years.

Durable earning trigger? → MAYBE

There is a real engine here: PHPO is over half of sales and growing 18%, transformer oil is riding a genuine grid-investment cycle at 28% growth, and exports have gone from a third to over half of revenue. Volumes have compounded at the promised 8–10% for three years. But you must not confuse that engine with this quarter's result. The ₹206 cr profit came from a spread of ₹28,145/kL against a normal ₹8,274 — a war premium, on volumes up just 8%. Management said so themselves. Strip the windfall out and Gandhar is a competent 8–10% volume grower earning 5–7% operating margins on a thin, cyclical spread it does not control. Two further constraints keep this from a YES: Indian capacity is effectively full at ~97% with **no capex plan announced yet**, and working capital has deteriorated from 47 to 91 days, which is why FY26 free cash flow was just ₹3 cr on ₹138 cr of profit. The trigger is real; the reported earnings are not evidence of it.

Management consistent? → MAYBE

Split cleanly in two. On **things they control** — building plant, holding strategy, growing volume — they deliver: Taloja was built on schedule, FY26 utilisation hit ~93% as promised, the three-pillar strategy has not drifted in three years, and the balance sheet is genuinely near debt-free. On **things they forecast** — margins above all — they have been repeatedly and materially wrong, promising improvement in FY24, FY25 and FY26 and delivering none of it until an external shock intervened. The Texol ramp has been "1.5 to 2 years away" for more than two years running, which is drift by another name. What stops this being a NO is their handling of the windfall quarter: they flagged it as exceptional before anyone asked and refused to guide the inflated margin forward. Honest about a good quarter is rarer than it should be, and it earns them the benefit of the doubt — but the forecasting record still has to improve before this becomes a YES.

Sources: Nine Gandhar Oil Refinery (India) Ltd earnings-call transcripts filed with BSE/NSE, Q2 FY24 (Jan 2024) through Q1 FY27 (23 Jul 2026), sourced from Screener.in; Screener.in consolidated and standalone financial history (profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding).

A note on the numbers: figures quoted from the calls are *consolidated* (management's basis — Q1 FY27 revenue ₹1,732 cr, PAT ₹206 cr). Screener's quarterly table is *standalone* and shows ₹1,591 cr and ₹179 cr for the same quarter. Both are correct on their own basis; the difference is the Sharjah subsidiary, Texol.